TAX-SAVING OPTIONS UNDER SECTION 80C

SAVINGS AND FIXED INCOME INSTRUMENTS	EXPENSES THAT COULD BE CLAIMED	MARKET-LINKED INSTRUMENTS
↘ PPF (Public Provident Fund	↘ Tuition fee for 2 children	↘ Life Insurance Premium (Endowment-type plans)
↘ NSC (National Savings Certificate)	↘ Stamp duty and registration cost of the house	↘ NPS (National Pension System)
PF (Provident Fund)	↘ Home loan principal payment	↘ ELSS (Equity Linked Savings Scheme)
↘ 5-year bank fixed deposit and Post Office deposit		↘ Pension plans from insurance companies (u/s 80CCC)
↘ SCSS (Senior Citizen Saving Scheme)		↘ Unit Linked Insurance Plan (ULIP)

TAX BENEFITS

₹1.5
LAKH
Maximum sum to deploy to claim tax savings under Section 80C

₹50,000
EXCLUSIVE
Tax savings in NPS under Section 80CCD (1B)

₹46,800
MONEY
you can save in taxes at the 30% tax bracket when you maximise Section 80C benefits

3
YEARS
Lock-in period for ELSS, the shortest among tax-saving instruments

₹500
THE MINIMUM
SIP instalment one can start investing in ELSS with

TAX SAVINGS WITH NPS

The NPS (National Pension System) is a modern retirement planning avenue which offers subscribers flexibility with their retirement investment as well as tax benefits. Firstly, any individual subscriber of the NPS can claim tax benefit under Sec. 80 CCD (1) within the overall ceiling of Rs 1.5 lakh under Section 80C of the Income Tax Act.

For taxpayers who have contributions towards other tax saving avenues under Section 80C, there is scope for additional tax saving of up to Rs 50,000 exclusively on their Tier 1 NPS contributions under Section 80CCD (1B).

For subscribers under the corporate NPS, the employer's NPS contribution (for the benefit of employee) up to 10 per cent of salary (Basic + DA), is deductible from taxable income, with limits under Section 80CCD (2). So, if your employer offers you NPS instead of provident fund, you do not lose on the tax savings available under EPFO (Employees' Provident Fund Organisation). Tax benefits are also available at the time of withdrawal and exit from NPS.

could also double as tax-saving instruments could work to your advantage. For those new to investing, these could also be their initiation to investing in market-linked products. Two investing instruments stand out—ELSS and NPS—both having features that could work for most taxpayers. NPS is long-term retirement savings, open to every Indian (resident and non-resident) and introduced by the government of India, and is structured to have two accounts—Tier 1 and Tier 2.

Tier 1 is mandatory and meant for retirement savings for employees of the government sector and the private sector as well as those who are self-employed. Tier 2 is for general investment, which doesn't offer any tax savings. One can invest in NPS from age 18 up to age 65, with minimum contribution to Tier 1 being at least Rs 500 per transaction and at least Rs 6,000 per year. One can join the NPS as late as when they are 60 years old and continue to contribute until they are 70 years old.

NPS is structured as a mutual fund where investments are converted to units, with investments spread across different asset classes. The available asset classes that NPS invests in include equity, corporate debt, government securities and AIF (Alternate Investment Funds). However, one can invest a maximum of 75 per cent of the total portfolio into equities and maximum allocation to the alternate asset will be limited to 5 per cent. You also have the option to choose the automatic lifecycle-based portfolios or manually decide the ratios of asset allocation. The automatic